

Around 15 of Organon's established brands generate more than \$100 million a year each.

"The way we have played in the branded generic market, we can play in the established brands business to make it grow further," he says. The third is biosimilars, at \$691 million in 2025, and growing at a 13% CAGR since 2021.

"The reason why we were not investing in biosimilars was lack of clarity about substitution as well as interchangeability. There is now greater regulatory clarity on both these issues," Shanghvi said. Substitution refers to replacing an originator biologic with a biosimilar at the pharmacy level, while interchangeability means the biosimilar has demonstrated equivalent safety and efficacy even when patients switch between the two medicines multiple times. Greater regulatory clarity on these aspects improves commercial confidence for biosimilar investments.

He added that improving regulatory clarity and the possibility of reduced clinical-study requirements could significantly lower the cost of bringing biosimilars to the market. The acquisition makes Sun the seventh-largest biosimilar player globally.

## MAKING THE DEAL WORK

26 | Shanghvi's approach to integration draws heavily from his experience with Ranbaxy, where scale came with immense complexity.

Ganorkar divides the integration into two phases. The first is portfolio integration, reviewing the combined catalogue and deciding what to promote and



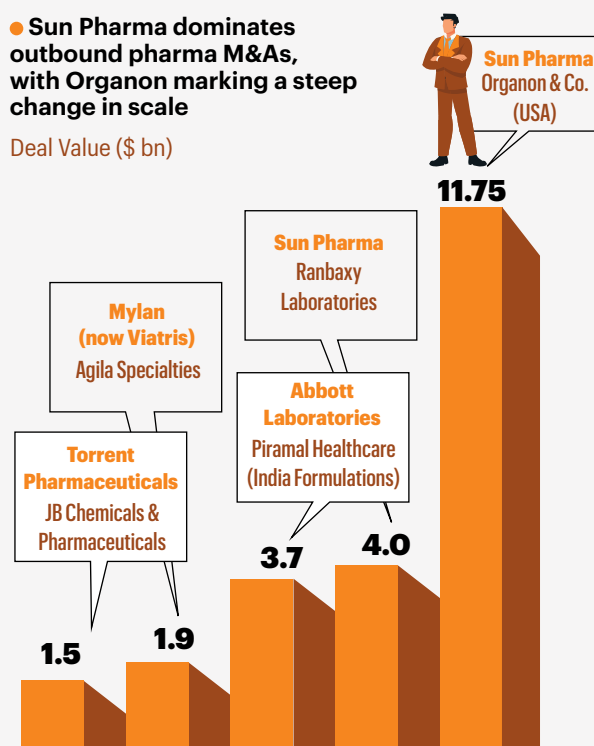
**KIRTI GANORKAR,**  
MANAGING  
DIRECTOR,  
SUN PHARMA

**"Sun's leadership is open and flexible. It is not only Sun's culture that will drive the future business; both companies' culture will drive the future business"**

## DEAL LEADER

● Sun Pharma dominates outbound pharma M&As, with Organon marking a steep change in scale

Deal Value (\$ bn)



SOURCE BT RESEARCH

what to rationalise. The overlap between Sun and Organon is negligible. "With Ranbaxy, we were able to review the entire global portfolio within six to twelve months," he says. "The same approach applies here." The second, and harder, phase is people and culture.

Sun's culture, performance-driven, lean, frugal and intensely execution-focused, is different from Organon's. The US-based company carries the legacy of a Merck & Co. spin-off, with a New Jersey headquarters and a 4,000-strong field force built around a Western multinational operating structure. "Everybody wants to succeed in life," Shanghvi said. "Many times, if they are not successful, it is not because they do not want to, it is because they do not know how to."

Ganorkar says Sun does not intend to impose its culture on Organon. "Sun's leadership is open and flexible. Both companies' culture will drive the future business,"